

Group Rules NO.
G03

Group Risk Management Rules

7th Edition

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Responsible Department	Niterra Co., Ltd. President's Group Business Management Dept.

Group Risk Management Rules

(Purpose)

Article 1. These rules aim to provide for basic matters concerning risk management to further ensure that the Niterra Group companies (hereinafter referred to as the "Companies") can achieve sustainable growth of the Niterra Group by sharing risk management policy stated in the CSR basic policy.

(Definition)

Article 2.

1. "Risk" refers to a situation in which the occurrence of an event has the potential to cause the organization to suffer a loss or impact, or to inhibit the achievement of the purpose of an organization.
2. "Incident" refers to a situation in which a risk has materialized and the organization has been damaged or affected.
3. "Emergency situation" refers to a situation where an actual or an impending Crisis, as listed below, is seriously concerned and prompt response by the Niterra group as a whole is needed.
 - (1) where body or life of Employees is injured or business continuity is disrupted by reason that material assets are noticeably damaged because of external factors, such as natural disaster (eg. large earthquake, pandemic) and serious incident and serious accident,
 - (2) where company management is seriously influenced by reason that customer trust, social credibility or corporate brand is seriously damaged by law violation, misconduct, harmful rumor and so on,
 - (3) where business operation is disrupted by serious failure of information system,
 - (4) where inside and outside of the company is seriously influenced by reason due to the company, such as accident caused by defective product and health damage caused by hazardous material spill, or
 - (5) Significant unforeseen circumstances other than (1) to (4).
4. Risk management refers to efforts that unify "preventive measures" to prevent risks and "emergency measures" to deal with emergencies when they occur.

(System・Roles)

Article 3. The system and roles for the Niterra Group to achieve the basic policy are as follows.

(1) Group management system

Risk management superintendent of the Niterra Group shall be a president of Niterra Co., Ltd.

Responsible person for promotion shall be an executive officer in charge of The Business Management Department of Niterra Co., Ltd. (hereinafter referred to as the "BM department").

The BM department shall be the supervisory management department for Risk management.

Niterra Co., Ltd. shall also establish a Risk Management Committee chaired by an executive officer appointed by the above Risk management superintendent.

(2) The roles of Risk Management Committee

The Risk Management Committee shall develop the risk management system, decide on important risk management initiatives, and monitor the operations of risk management of Niterra Group.

(3) The roles of the supervisory management department

The supervisory management department shall serve as the secretariat of the Risk Management Committee. The supervisory management department shall provide support and correction to the operations of each company regarding risk management, and periodically confirm and maintain the effectiveness of these rules.

(4) The system and roles of Each company

Each company shall establish rules and systems based on these Rules, with the president of each company as the chief executive officer of each company, and shall implement risk management related to the business and operations for which it is responsible. In implementing risk management, each company shall follow the instructions, if any, of the specialized divisions in Niterra Co., Ltd. that are in charge of each function related to the management of the group companies (general affairs, human resources, accounting, information systems, etc.).

(Preventive Measures)

Article 4. Each company shall, based on a comprehensive understanding of risks, identify risks that may have a significant impact on the business and operations for which it is responsible, and take necessary measures (mitigation, transfer, etc.) to prevent the occurrence of such risks while maintaining a balance with management resources.

(Incident Response)

- Article 5**
1. In the event that a risk materializes and an incident occurs, each company shall strive to minimize the damage and bring the incident to an early resolution.
 2. After the incident has been settled, each company shall analyze the factors that led to the occurrence of the incident, compile measures to prevent recurrence based on the results of such analysis, and implement such measures to prevent recurrence.

(Emergency Response)

- Article 6**
1. In the event of an emergency situation, each company shall strive to prevent the situation from spreading by taking prompt and appropriate initial actions.
 2. In response to an emergency situation in the Niterra group, the president of Niterra Co., Ltd. shall be designated as the Chief Emergency Officer, and the Chief Emergency Officer shall direct the transition to an emergency response system. Depending on the type and nature of the emergency, the scope of the area affected, and the status of the initial response, the Chief Emergency Manager shall designate another person (the president of the company if it is a group company) as the Emergency Response Manager.
 3. The Emergency Response Manager shall form an emergency response team (hereinafter referred to as the "Crisis Response Team"). The Crisis Response Team shall collect and analyze information, determine and instruct countermeasures, coordinate with relevant departments of Niterra Co., Ltd. and Group companies, and contact relevant external organizations as appropriate, in order to respond to the emergency situation. The person designated by the Chief Emergency Officer as the Emergency Response Manager shall report the status of emergency response to the Chief Emergency Officer in a timely manner.

(Business Continuity Plan)

- Article 7**
1. Each company shall formulate and operate a business continuity plan (BCP) in preparation for emergencies, and maintain, improve, and enhance its business continuity capabilities.
 2. In developing and operating a business continuity plan (BCP), each company shall include the following items
 - (1) Minimize damage caused by emergencies and continue business without affecting stakeholders.
 - (2) Take measures to ensure early recovery in the event of an emergency.
 - (3) Establish a system that allows employees involved in recovery activities to act independently and safely.

(4) All employees will work together to implement a more effective BCP and business maintenance management process.

Revision History

Edition	Date	Content
1st	2016.4.1	Published the first edition.
2nd	2021.4.1	Revised to change department in charge from “Corporate Strategy Group Risk Management Department” to “Business Management Dept.”
3rd	2022.4.1	Revised to change department in charge from “Business Management Dept.” to “Global Strategy Division Business Management Department”.
4th	2023.4.1	English company name is revised.
5th	2024.4.1	• Clarify that basic matters are determined based on the CSR basic policy • Review the definition of risk management • Clarification of the overall control system and definition of roles regarding group risk management • Specific rules that should be followed throughout the group
6th	2025.4.1	Change the name of the department in charge of these rules. Change the details based on the organizational change.
7th	2026.4.1	Changed the department in charge from Business Management Dept. to President’s Group Business Management Dept.